

1. Open a bank account in the name of the HUF (the bank will provide the format for the karta of the HUF to open the savings account)
2. Apply for a PAN Card for the HUF
3. Transfer assets/property to the HUF

Claim your LTA / LTC on time

Most of us do take out time for at least one vacation in a year with our family. While this is good, so many times we just fail to take the tax benefits provided to us by the government. There can be various reasons for not availing tax benefits like these. Either we are afraid of the paper work, or we are too busy otherwise, or we do not realize the importance of saving taxes or it may be just that we are not fully aware of the rules pertaining to Leave Travel Concession (LTC)/Leave Travel Assistance (LTA).

LTA can be claimed twice in the block of four years. That means you can claim two times in the specified block. This window of 4 year blocks are predefined by the government. These are:

2002 – 2005

2006 – 2009

2010 – 2013

2014 – 2017 And so on. The current block is 2014 – 2017.

The maximum eligible amount for LTA is ₹50,000 for each journey. So, do plan out the next vacation but do not forget to take the tax benefits available under the governments LTA / LTC policy.

Additional Tax Savings on NPS

NPS gets you an additional tax saving on ₹50,000/- annually over and above the ₹1.5 Lac limit under Section 80C. But be careful before you start